

Bocconi

UNDERSTANDING THE PURPOSE AND THE SYSTEM OF FINANCIAL STATEMENTS 30060 – MANAGEMENT

Walsh Book

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AGENDA

1. INTRODUCTION
2. INSTITUTIONAL EQUILIBRIUM
3. FINANCIAL STATEMENT ANALYSIS
4. SUMMARY OF MAIN POINTS



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SCHOOL

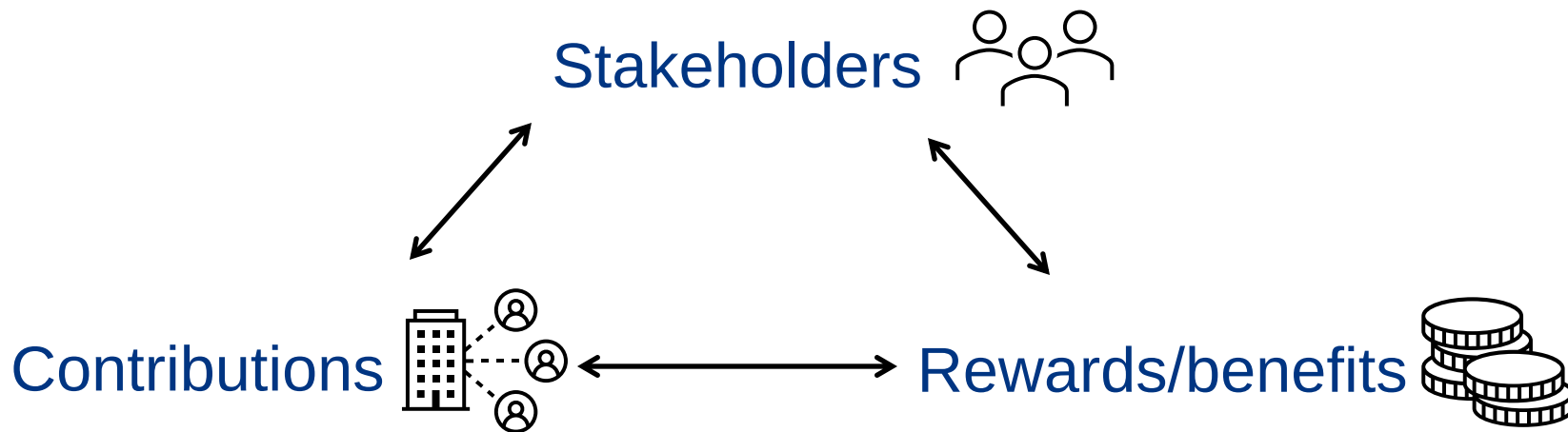
1.0

INTRODUCTION



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The basic components of institutional structure



2.0

INSTITUTIONAL EQUILIBRIUM



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CORE STAKEHOLDERS

All core stakeholders share the values, objectives, governance and organization of the firm

All core stakeholders receive rewards and benefits which are considered fair given the contributions provided



What happens if they don't?

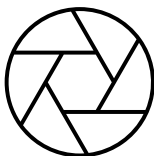
When does this usually happen?



Organizations (especially corporations) are often characterized by:

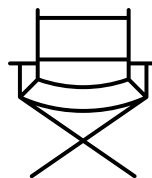
TRANSFERABILITY

Some degree of openness



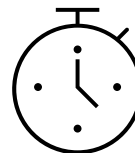
AUTONOMOUS EXISTENCE

They can freely set up i.e. their governance without relying on other organizations.



DURABILITY

Prolonged existence



Economic sustainability

Organizations need economic sustainability to keep autonomy over time and ensure durability.

Income equilibrium (Profitability)

Firms make lots of market transactions. Since revenues typically arise after incurring costs there is need of financing, which creates financial charges. Hence, negative and positive components.

- Entity (single-firm vs. group)
- Time frame (short vs. long run)



Cash equilibrium (Solvency)

When short-term profitability is lacking, firms use debt management to cover costs. However, debt generates financial charges & increases corporate risk

Efficiency

Not the same as profitability (e.g. monopolies, negative externalities)

Fairness of remuneration of input

Labor and capital

We define **PROFITABILITY**

An indicator of a firm's ability to cover negative components (including loan and equity capital) with positive components of income at market conditions without systematically getting support from third parties



We define **SOLVENCY**

The firm's ability to cover debt at any given moment



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FINANCIAL STATEMENT ANALYSIS



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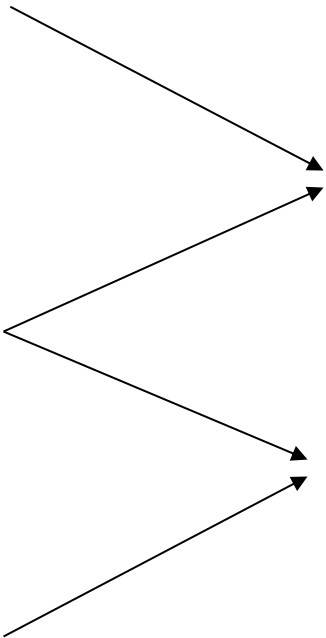
Profit and loss account

Costs and revenues

Balance sheet

Assets and funds

Cash-flow statement



Profitability

Solvency



Balance Sheet (B/S)

A snapshot of the assets used by the company and the funds that are related to these assets at an instant in time



The Balance Sheet of IKEA

CONSOLIDATED BALANCE SHEET ASSETS

(in millions of Euros)

	FY15	FY14
Property, plant and equipment	22,840	17,322
Other fixed assets	2,515	2,984
Total fixed assets	25,355	20,306
Inventory	5,498	4,927
Receivables	2,500	2,548
Cash and securities	16,659	16,886
Total current assets	24,657	24,361
Total assets	50,012	44,667

CONSOLIDATED BALANCE SHEET EQUITY AND LIABILITIES

(in millions of Euros)

	FY15	FY14
Group equity	34,896	31,608
Long-term liabilities	2,061	1,550
Other non-current liabilities	1,971	1,858
Total non-current liabilities	4,032	3,408
Short-term liabilities	4,880	4,397
Other payables	6,204	5,254
Total current liabilities	11,084	9,651
Total equity and liabilities	50,012	44,667



The Balance Sheet of Apple

Apple Inc.

CONDENSED CONSOLIDATED BALANCE SHEETS (Unaudited)

(In millions, except number of shares which are reflected in thousands and par value)

	September 29, 2018	September 30, 2017
ASSETS:		
Current assets:		
Cash and cash equivalents	\$ 25,913	\$ 20,289
Marketable securities	40,388	53,892
Accounts receivable, net	23,186	17,874
Inventories	3,956	4,855
Vendor non-trade receivables	25,809	17,799
Other current assets	12,087	13,936
Total current assets	131,339	128,645
Non-current assets:		
Marketable securities	170,799	194,714
Property, plant and equipment, net	41,304	33,783
Other non-current assets	22,283	18,177
Total non-current assets	234,386	246,674
Total assets	\$ 365,725	\$ 375,319
LIABILITIES AND SHAREHOLDERS' EQUITY:		
Current liabilities:		
Accounts payable	\$ 55,888	\$ 44,242
Other current liabilities	32,687	30,551
Deferred revenue	7,543	7,548
Commercial paper	11,964	11,977
Term debt	8,784	6,496
Total current liabilities	116,866	100,814
Non-current liabilities:		
Deferred revenue	2,797	2,836
Term debt	93,735	97,207
Other non-current liabilities	45,180	40,415
Total non-current liabilities	141,712	140,458
Total liabilities	258,578	241,272
Commitments and contingencies		
Shareholders' equity:		
Common stock and additional paid-in capital, \$0.00001 par value: 12,600,000 shares authorized; 4,754,986 and 5,126,201 shares issued and outstanding, respectively	40,201	35,867
Retained earnings	70,400	98,330
Accumulated other comprehensive income/(loss)	(3,454)	(150)
Total shareholders' equity	107,147	134,047
Total liabilities and shareholders' equity	\$ 365,725	\$ 375,319



Profit and loss account (income statement)

Measures the gains or losses from both normal and abnormal operations over a period of time.



The Income Statement of IKEA

CONSOLIDATED INCOME STATEMENT

1st September 2014–31st August 2015

(in millions of Euros)

	FY15	FY14
Revenue	32,658	29,293
Cost of sales	18,221	16,372
Gross profit	14,437	12,921
Operating cost	10,388	9,128
Operating income	4,049	3,793
Total financial income and expense	299	352
Income before minority interests and taxes	4,348	4,145
Tax	822	801
Income before minority interests	3,526	3,344
Minority interests	14	15
Net income	3,512	3,329



The Income Statement of Apple

Apple Inc.

CONSOLIDATED STATEMENTS OF OPERATIONS

(In millions, except number of shares which are reflected in thousands and per share amounts)

	Years ended		
	September 29, 2018	September 30, 2017	September 24, 2016
Net sales	\$ 265,595	\$ 229,234	\$ 215,639
Cost of sales	163,756	141,048	131,376
Gross margin	101,839	88,186	84,263
Operating expenses:			
Research and development	14,236	11,581	10,045
Selling, general and administrative	16,705	15,261	14,194
Total operating expenses	30,941	26,842	24,239
Operating income	70,898	61,344	60,024
Other income/(expense), net	2,005	2,745	1,348
Income before provision for income taxes	72,903	64,089	61,372
Provision for income taxes	13,372	15,738	15,685
Net income	\$ 59,531	\$ 48,351	\$ 45,687
Earnings per share:			
Basic	\$ 12.01	\$ 9.27	\$ 8.35
Diluted	\$ 11.91	\$ 9.21	\$ 8.31
Shares used in computing earnings per share:			
Basic	4,955,377	5,217,242	5,470,820
Diluted	5,000,109	5,251,692	5,500,281



Cash flow statement

A report of the inflows and outflows of cash. It links the most significant elements of B/S and income statement.



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SUMMARY OF MAIN POINTS



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01

The components of the institutional equilibrium

02

The relation between the principles of the institutional equilibrium and the tools of the financial analysis.

03

Exploring Income Statement, Balance Sheet and the Cash Flow statement.



THANK YOU